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This piece, written with Luigi Zingales (also a University of Chicago professor and my co-author for *Saving Capitalism from the Capitalists*), was published in the early days of the Iraq occupation in 2003. It is quite sceptical about the prospects of building democracy in Iraq.

## Capitalism Does Not Rhyme with Colonialism

The end of the Cold War marked the triumph of market democracies over socialism and the ascendance of the United States to the position of the sole world superpower. While this occurred more than a decade ago, only now with Operation Iraqi Freedom are the geopolitical implications becoming clearer. The military power now enjoyed by the United States is similar to that Western Europe had during the second half of the 19th century. Back then European powers went on a hunt for colonies, partly because of economic self-interest, partly in an attempt to 'civilize' the rest of the world. While history is not so boring as to repeat itself, some in U.S. policy circles genuinely believe that by deposing rogue regimes like Iraq and planting the seeds of democracy and capitalism in those countries, the United States can also infect neighbouring countries and eventually remake the world in its own image. While these policy makers would reject any parallels in motives with colonialism, they exist nonetheless: a mix of self-interest – the world will become safer for the United States – and idealism – it will also make the world more prosperous and liberal. But can these policies work?

The reasoning is not without merit. Dictators like Saddam Hussein hold such a grip on power that internal change is all but impossible. In